Roll No. .....

GE–109

B. B. A. (THIRD SEMESTER)

MID SEMESTER EXAMINATION, Oct., 2022

AUDIT AND ASSURANCE

(Elective—III i. e. only for BBA with ACCA)

Time : 1½ Hours

Maximum Marks : 50

Note : (i) Answer all the questions by choosing any *one* of the sub-questions.

(ii) Each sub-question carries 10 marks.

1. (a) An auditor assesses the audit risk involved during the audit where such assessment helps him in deciding the way forward.

Explain the term "audit risk" and describe the various components of audit risk. (CO2)

OR

(b) Internal control is the process designed and effected by directors for the effectiveness and efficiency of operations. Describe the various components of an internal control system. (CO2)

2. (a) You are the senior manager in the internal audit department of Razorhood Co. You report to the chief internal auditor and have a staff of six junior auditors to supervise.

P. T. O.

In a recent meeting with the chief internal auditor, the difficulty of staff recruitment and retention was discussed. Over the past year, five junior internal audit staff have left the company, but only two have been recruited. Recruitment problems identified include the location of Razorhood Co.'s head office in a small town over 150 kilometres from the nearest major city. Together with the chief internal auditor you believe that outsourcing the internal audit department may be a way of alleviating the staffing problems.

Discuss any *five* advantages and *five* disadvantages of outsourcing the internal audit function. (CO2)

OR

(b) Internal control is the process designed and effected by directors for the effectiveness and efficiency of operations.

Briefly describe the effects of the test of controls on audit strategy and plan. (CO2)

3. (a) Define an assurance engagement and differentiate between the two types of assurance engagements i.e. reasonable assurance engagements and limited assurance engagements. (CO1)

OR

(b) The auditor must document the client's control systems.

Explain the various ways or methods in which an auditor records internal control systems with *one* advantage and *one* disadvantage for each of the methods. (CO2)

4. (a) (i) Practitioners need to behave and be seen to behave, in an ethical, professional manner. You are required to explain each of the *five* fundamental principles of ACCA's Code of Ethics and Conduct.

(ii) A practitioner faces different kinds of potential threats to compliance with ethical principles. Identify and list *five* threats to objectivity, with an example each. (CO3)

OR

(b) Can an auditor choose to not perform substantive procedures at all by placing reliance on internal controls ?

What are the inherent limitations of internal controls ? Give some examples. (CO4)

5. (a) Internal audit is an independent, objective assurance and consulting activity designed to add value and improve an organisation's operations. Differentiate between internal audit and external audit. (CO4)

OR

(b) AgriLim Co. supplies a wide range of garden and agricultural products to trade and domestic customers. The company has 11 divisions, with each division specialising in the sale of specific products, for example, seeds, garden furniture and agricultural fertilizers.

Products in the seed division are offered for sale to domestic customers via an internet site. Customers review the product list on the Internet and place orders for packets of seeds using specific product codes. Order details are transferred manually onto the company's internal inventory control and sales system and a two part packing list is printed in the seed warehouse. Each order and packing list is given a random